

Recursion Pharmaceuticals

NASDAQ : RXXR · Young- \$1.78B mkt cap · 510M sh · \$665M cash, zero debt · \$0.665B cash (Q1'26); runway into early 2028; burn ~\$340M/yr; FY25 revenue \$74.7M (+27%) — all collaboration/milestone, no product sales; Down ~40% YTD to ~\$3.02; ~510M shares post-Exscientia merger + ATM

\$3.50

THE CENTRAL QUESTION

At a ~40%-de-rated \$3.02 with ~\$1.3/share of net cash, is RXXR a cheap option on AI-drug-discovery validation, or a platform that funds itself toward dilutive stagnation?

Recursion runs an AI-drug-discovery platform — automated wet-lab Phenomaps plus an NVIDIA supercomputer — that maps cellular phenotypes to find drug candidates. After the Exscientia merger doubled the share count, it trades at \$3.02 (~\$1.54B cap), down ~40% YTD, on FY25 revenue of \$74.7M that is entirely collaboration income — no approved drug. Funded into early 2028, the near-term risk is dilution, not insolvency. The DCF asks whether the platform ever yields an economically-meaningful approved drug. Weighted fair value is \$3.85, +28% above spot — but the modal base sits below the price, so the answer rides the right tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$3.85 expected fair value today  
+10.1% vs spot \$3.50

FORWARD COMPOUNDED VALUE

| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$6.14     | \$9.80     | \$15.64    | \$24.97    |
| 1.76x spot | 2.80x spot | 4.47x spot | 7.14x spot |

WEIGHTING RATIONALE

Ultra Bear 15% Platform never delivers; milestone-only revenue, heavy dilution toward the cash floor.

Bear 30% One or two small partnered wins; revenue stays sub-scale and dilution offsets it.

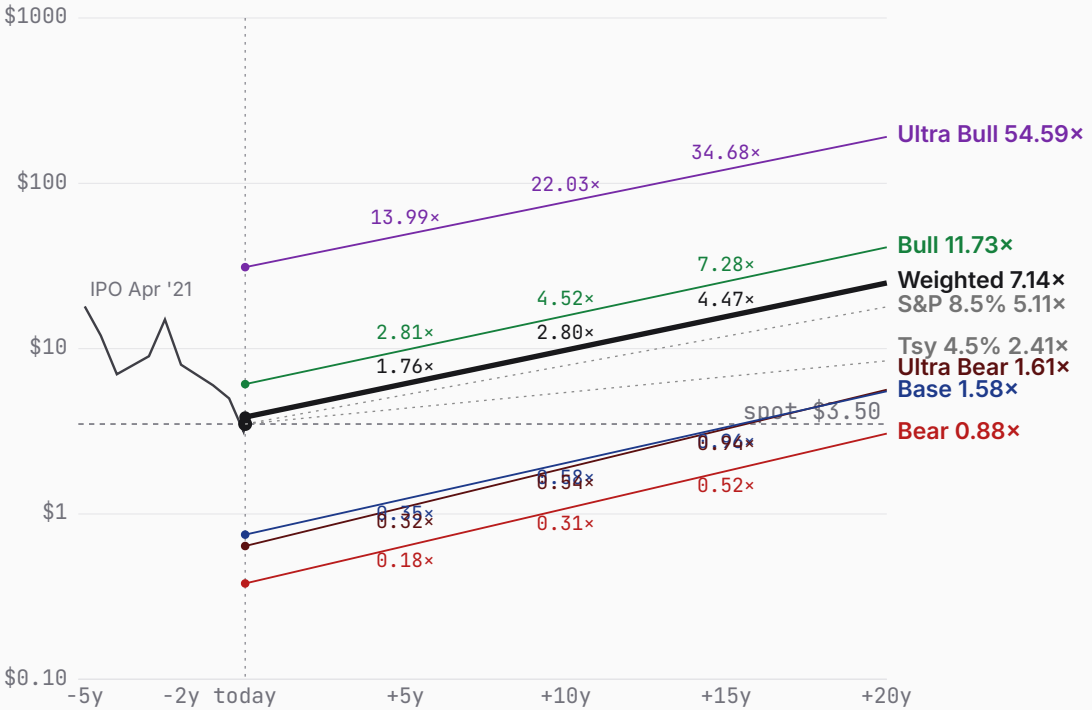
Base 32% Modest validation — a few wins plus broader partnerships; ~\$0.9B revenue, still dilutive.

Bull 15% AI discovery becomes a real engine — multiple approvals, royalty and licensing income.

Ultra Bull 8% Recursion OS becomes a dominant tech-bio platform; a pharma-scale outcome.

Bull (15%) + Ultra Bull (8%) together contribute \$3.40 — 88% of the \$3.85 expected value despite 23% combined probability. Today's spot (\$3.50) sits 9% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                           | \$0.64         | BEAR                                                   | \$0.38         | BASE                                        | \$0.75         | BULL                                     | \$6.10         | ULTRA BULL                              | \$31.11         |
|------------------------------------------------------|----------------|--------------------------------------------------------|----------------|---------------------------------------------|----------------|------------------------------------------|----------------|-----------------------------------------|-----------------|
|                                                      | -81.7% vs spot |                                                        | -89.1% vs spot |                                             | -78.6% vs spot |                                          | +74.3% vs spot |                                         | +788.9% vs spot |
| TAM 0.3% P(fail) 85%<br>S2C 1.0 Prob 15%             |                | TAM 1.0% P(fail) 55%<br>S2C 1.1 Prob 30%               |                | TAM 1.8% P(fail) 35%<br>S2C 1.1 Prob 32%    |                | TAM 5.0% P(fail) 15%<br>S2C 1.3 Prob 15% |                | TAM 10.4% P(fail) 8%<br>S2C 1.5 Prob 8% |                 |
| Platform never delivers; dilutive grind to the floor |                | A couple small partnered wins; revenue stays sub-scale |                | Platform validates modestly; still dilutive |                | AI discovery becomes a real engine       |                | A dominant tech-bio platform            |                 |



# Recursion Pharmaceuticals scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 32% Bull 15% Ultra Bull 8% · Weighted expected \$3.85 (+10.1% vs spot)

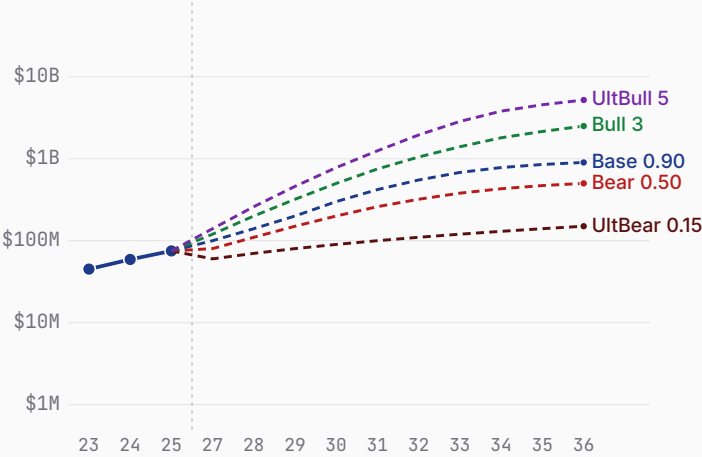
| ULTRA BEAR                                                                                                                                                                                                                                                                                                        | \$0.64         | BEAR                                                                                                                                                                                                                                                                                         | \$0.38         | BASE                                                                                                                                                                                                                                                                                                                      | \$0.75         | BULL                                                                                                                                                                                                                                                                                                                | \$6.10         | ULTRA BULL                                                                                                                                                                                                                                                                                  | \$31.11         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
|                                                                                                                                                                                                                                                                                                                   | -81.7% vs spot |                                                                                                                                                                                                                                                                                              | -89.1% vs spot |                                                                                                                                                                                                                                                                                                                           | -78.6% vs spot |                                                                                                                                                                                                                                                                                                                     | +74.3% vs spot |                                                                                                                                                                                                                                                                                             | +788.9% vs spot |
| Probability 15%                                                                                                                                                                                                                                                                                                   |                | Probability 30%                                                                                                                                                                                                                                                                              |                | Probability 32%                                                                                                                                                                                                                                                                                                           |                | Probability 15%                                                                                                                                                                                                                                                                                                     |                | Probability 8%                                                                                                                                                                                                                                                                              |                 |
| Platform never delivers; dilutive grind to the floor                                                                                                                                                                                                                                                              |                | A couple small partnered wins; revenue stays sub-scale                                                                                                                                                                                                                                       |                | Platform validates modestly; still dilutive                                                                                                                                                                                                                                                                               |                | AI discovery becomes a real engine                                                                                                                                                                                                                                                                                  |                | A dominant tech-bio platform                                                                                                                                                                                                                                                                |                 |
| WHY 15%                                                                                                                                                                                                                                                                                                           |                | WHY 30%                                                                                                                                                                                                                                                                                      |                | WHY 32%                                                                                                                                                                                                                                                                                                                   |                | WHY 15%                                                                                                                                                                                                                                                                                                             |                | WHY 8%                                                                                                                                                                                                                                                                                      |                 |
| A 15% read. The platform has zero approved drugs and NVIDIA fully exited its equity in Feb 2026 — a negative external signal. An 85% p_fail reflects that AI-bio has, industry-wide, not yet produced an approved drug.                                                                                           |                | A 30% read — the heaviest single weight. Reflects partial platform validation: Roche, Sanofi, and Bayer deals exist and Sanofi paid a fifth milestone in Feb 2026, but a 55% p_fail captures how rarely partnered candidates clear.                                                          |                | A 32% read, the modal case. A 35% p_fail assumes the platform delivers at least modest product or royalty economics within the decade — consistent with three named pharma partners but no approved drug yet.                                                                                                             |                | A 15% read. Requires the data flywheel to translate into repeated approvals — a 15% p_fail. Anchored to the combo and registrational readouts due 2026-2027, which would be the first hard evidence the engine produces drugs.                                                                                      |                | An 8% read. The lowest-probability, highest-payoff outcome: an 8% p_fail and a winner-take-most platform result. It assumes the Phenomap data advantage becomes a durable cornered resource the rest of AI-bio cannot replicate.                                                            |                 |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                      |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                 |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                              |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                        |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                |                 |
| The Recursion OS produces no approved, economically-meaningful drug. Revenue stays milestone-only and sub-scale — about \$0.15B by FY35 at a 3% operating margin — as partnered programs stall and pharma interest in the platform fades. The discovery engine is real but never converts into product royalties. |                | One or two partnered programs reach approval or meaningful royalty, but the platform never becomes a self-sustaining engine. Revenue reaches about \$0.50B by FY35 at a 22% operating margin — better than milestone-only, yet far short of the scale needed to justify a platform multiple. |                | Recursion OS proves itself in a limited way — a couple of pipeline or royalty wins plus expanding pharma partnerships. Revenue reaches about \$0.90B by FY35 at a 28% operating margin as collaboration income broadens into early product and royalty streams. The platform earns credibility without becoming dominant. |                | The platform converts into a genuine discovery engine — multiple approvals across the pipeline (REC-617, REC-4881, REC-1245 and successors), plus royalty and platform-licensing income. Revenue reaches about \$2.50B by FY35 at a 35% operating margin as the Phenomap flywheel compounds into repeatable output. |                | Recursion OS becomes a dominant tech-bio platform — the standard layer for AI-driven discovery, licensed broadly and generating a major pharma-scale outcome. Revenue reaches about \$5.20B by FY35 at a 40% operating margin as platform economics, not single drugs, drive the model.     |                 |
| With nothing to fund itself, the company raises roughly \$1.15B over the decade, pushing the share count toward 970M. The DCF lands at −\$0.24; the \$0.80 distress floor and residual cash drive the expected value to \$0.64. The bet expires worthless except for the balance sheet.                           |                | Continued spending forces roughly \$1.1B of raises, lifting shares toward 877M and offsetting much of the operating progress. The DCF is −\$0.14 and the expected value \$0.38. Real science, but the economics never outrun the dilution.                                                   |                | Growth still outpaces internal funding, so roughly \$1.2B is raised and shares drift toward 810M. The DCF is \$0.72 and the expected value \$0.75 — both below spot. The modal outcome validates the science yet leaves the equity worth less than today's price.                                                         |                | Milestones and royalties fund more of the spend, so dilution eases and shares settle near 616M. The DCF is \$7.03 and the expected value \$6.10 — more than double spot. This is the first scenario where platform value clearly exceeds the price paid.                                                            |                | Self-funding largely replaces dilution and the equity compounds toward roughly \$19B. The DCF is \$33.75 and the expected value \$31.11 — roughly ten times spot. This tail is where the bulk of the weighted value lives, and it depends on the platform cornering the discovery resource. |                 |

Recursion Pharmaceuticals business snapshot

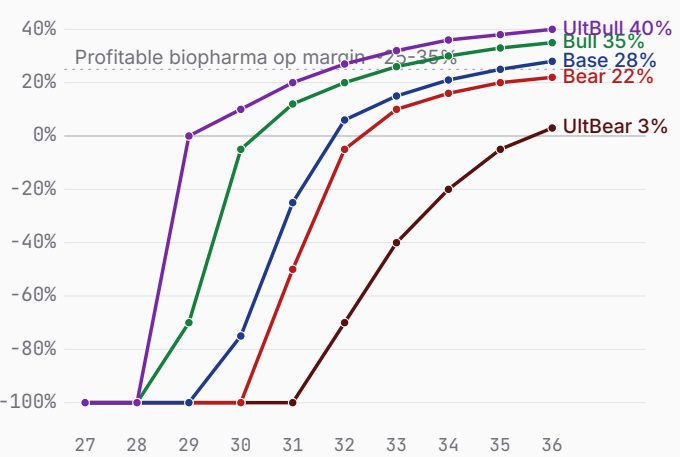
Bear \$0.38 Base \$0.75 Bull \$6.10

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · Q1'26 (May 2026) release

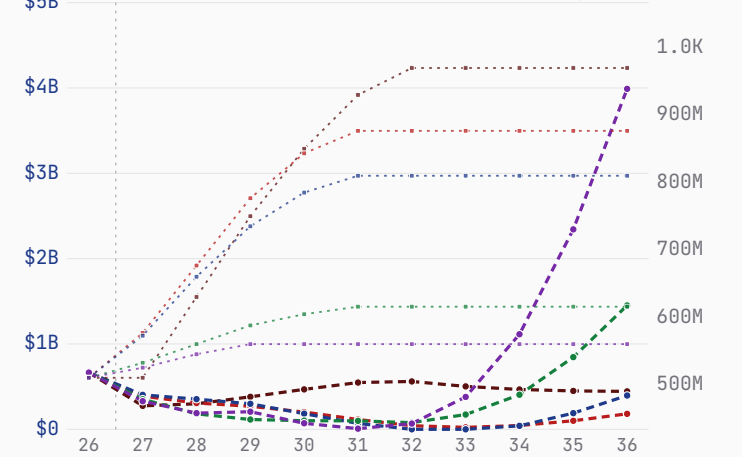
Revenue — history + scenarios to FY36 (log)



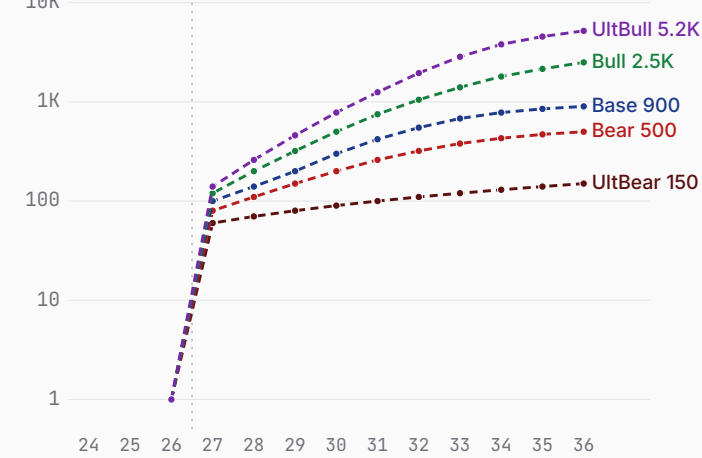
Path to profitability — op margin (FY27→FY36)



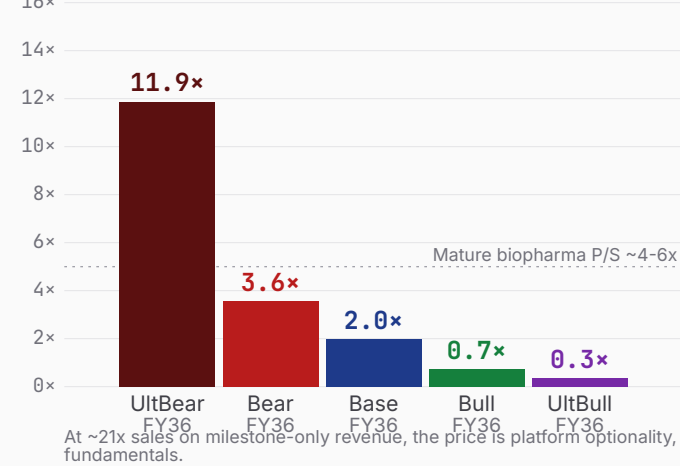
Cash + dilution (FY26 → FY36)



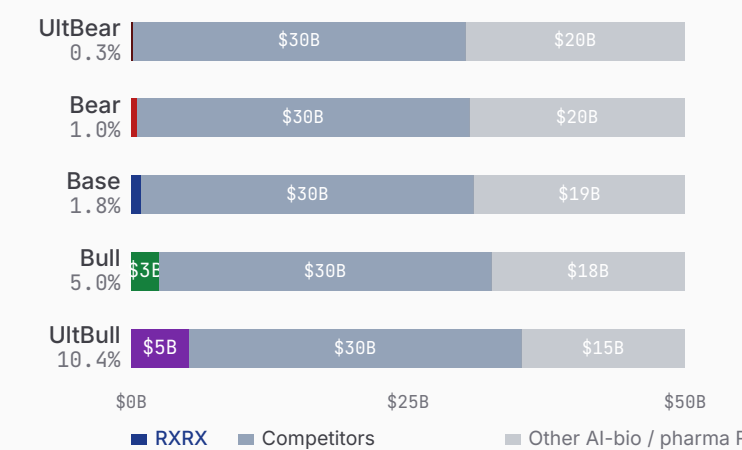
Revenue ramp (log)



\$1.78B mkt cap as P/S on FY36 rev



\$50B AI-enabled drug-discovery value — RXRX share



Sources: RXRX FY2025 results + Q1'26 8-K (CIK 1601830), company runway/burn guidance. Revenue is collaboration/milestone income (no product sales). FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: a serviceable slice of AI-enabled drug-discovery value, ~\$50B.

# Recursion Pharmaceuticals 7 Powers · the moat, scored

Bear \$0.38 Base \$0.75 Bull \$6.10

**Arena.** AI-driven drug discovery — turning proprietary biological data into approved drugs — where RXRX competes with private AI-bio labs, one public peer, and big-pharma in-house AI.

**POWER ORIENTATION**  
origination window: open

POWER ORIENTATION · 7 POWERS

|                                       |                                                                                                                                                    |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| Scale Economies                       | Compute and wet-lab automation scale, but no fixed-cost moat until products generate revenue.                                                      |
| Network Economies                     | No two-sided network; more partners help data, but value does not compound across users.                                                           |
| Counter-Positioning                   | Tech-bio model big pharma is slow to copy, but pharma is building its own AI in parallel.                                                          |
| Switching Costs                       | Multi-year collaborations create some stickiness, but partners run several AI vendors at once.                                                     |
| Branding                              | No brand power pre-approval; credibility rests on data, not name.                                                                                  |
| Cornered Resource · thesis leans here | The Phenomap dataset and BioHive-2 are the strongest candidate — proprietary, hard to replicate at scale, but unproven as a drug-output advantage. |
| Process Power                         | Integrated discovery workflow is distinctive but not yet shown to produce approved drugs repeatably.                                               |

THE RACE · NAMED RIVALS

|                                                                                                                                                                                                              |                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
| Insilico Medicine                                                                                                                                                                                            | Private (VC-backed)   |
| ~0% terminal share · Generative-AI discovery; launched Phase III of AI-discovered rentosertib (~Jul 2026) and signed an Eli Lilly collaboration worth up to \$2.75B (Mar 2026) — a full clinical phase ahead |                       |
| Isomorphic Labs                                                                                                                                                                                              | Alphabet-funded       |
| ~0% terminal share · Alphabet/DeepMind spinout; AlphaFold lineage. \$2.1B Series B (May 2026), the largest AI-drug-discovery raise to date; first clinical trials expected end-2026                          |                       |
| Schrodinger                                                                                                                                                                                                  | Public equity         |
| ~0% terminal share · Physics-based computational platform (the listed comp); Sincere collaboration (Jul 2026), pipeline narrowed to two clinical assets, pivoting toward partnership/software                |                       |
| Big-pharma in-house AI                                                                                                                                                                                       | Pharma balance sheets |
| ~0% terminal share · Roche, Sanofi, Novartis building internal AI — partners and potential substitutes                                                                                                       |                       |

LEAD / LAG · FALSIFIERS

|                                   |                                                                  |         |
|-----------------------------------|------------------------------------------------------------------|---------|
| Approved drugs from AI discovery  | Zero vs Zero (Insilico/Isomorphic/Schrodinger)                   | EVEN    |
| Proprietary phenotypic data scale | Industry-leading Phenomap library vs Smaller / model-based       | LEADING |
| Capital and balance-sheet depth   | ~\$0.665B cash, dilution-funded vs Deeper (Alphabet, big pharma) | LAGGING |

COMPETITIVE READ

No durable Power is originated yet — like all AI-bio, RXRX has zero approved drugs, so switching costs, branding and scale economies are still latent. The one candidate is a cornered resource: the Phenomap dataset and BioHive-2 compute generate proprietary phenotypic data at a scale rivals cannot easily match. The competitive clock is now ticking louder: in mid-2026 Insilico moved a molecule into Phase III (a full clinical phase ahead of Recursion), Isomorphic raised a record \$2.1B, and Schrodinger narrowed to a two-asset partnership model — the exact "well-capitalized rivals close the gap" pressure the bull thesis names as its falsifier. Yet the window has not closed: no rival has an approved AI-discovered drug either, so the head-to-head on approvals is still a tie at zero, and Recursion's phenotypic-data-scale lead is intact while its capital-depth disadvantage only sharpens. The falsifier the bull must clear is the 2026-2027 readouts producing real clinical and royalty economics — until a drug ships, the resource is unproven and the Power window stays open, not won.

Recursion Pharmaceuticals show your work

Bear \$0.38 Base \$0.75 Bull \$6.10 · Weighted \$3.85 (+10.1%)

| ULTRA BEAR                                |        |        |        |        | \$0.64                                    |        |        |        |        | BEAR                                      |        |        |        |        | \$0.38                                    |         |         |         |        | BASE                                      |         |          |          |        | \$0.75                                    |         |         |         |        | BULL                                      |         |         |         |        | \$6.10                                    |  |  |  |  | ULTRA BULL                                |  |  |  |  | \$31.11                                   |  |  |  |  |
|-------------------------------------------|--------|--------|--------|--------|-------------------------------------------|--------|--------|--------|--------|-------------------------------------------|--------|--------|--------|--------|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|---------|----------|----------|--------|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|--|--|--|--|-------------------------------------------|--|--|--|--|-------------------------------------------|--|--|--|--|
| ASSUMPTIONS                               |        |        |        |        | ASSUMPTIONS                               |        |        |        |        | ASSUMPTIONS                               |        |        |        |        | ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |         |          |          |        | ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |  |  |  |  | ASSUMPTIONS                               |  |  |  |  | ASSUMPTIONS                               |  |  |  |  |
| TAM Year-10 (\$B)                         |        |        |        |        | 50                                        |        |        |        |        | TAM Year-10 (\$B)                         |        |        |        |        | 50                                        |         |         |         |        | TAM Year-10 (\$B)                         |         |          |          |        | 50                                        |         |         |         |        | TAM Year-10 (\$B)                         |         |         |         |        | 50                                        |  |  |  |  | TAM Year-10 (\$B)                         |  |  |  |  | 50                                        |  |  |  |  |
| Mature share (%)                          |        |        |        |        | 0.3                                       |        |        |        |        | Mature share (%)                          |        |        |        |        | 1.0                                       |         |         |         |        | Mature share (%)                          |         |          |          |        | 1.8                                       |         |         |         |        | Mature share (%)                          |         |         |         |        | 5.0                                       |  |  |  |  | Mature share (%)                          |  |  |  |  | 10.4                                      |  |  |  |  |
| Mature op margin (%)                      |        |        |        |        | 3                                         |        |        |        |        | Mature op margin (%)                      |        |        |        |        | 22                                        |         |         |         |        | Mature op margin (%)                      |         |          |          |        | 28                                        |         |         |         |        | Mature op margin (%)                      |         |         |         |        | 35                                        |  |  |  |  | Mature op margin (%)                      |  |  |  |  | 40                                        |  |  |  |  |
| Sales-to-capital                          |        |        |        |        | 1.0                                       |        |        |        |        | Sales-to-capital                          |        |        |        |        | 1.1                                       |         |         |         |        | Sales-to-capital                          |         |          |          |        | 1.1                                       |         |         |         |        | Sales-to-capital                          |         |         |         |        | 1.3                                       |  |  |  |  | Sales-to-capital                          |  |  |  |  | 1.5                                       |  |  |  |  |
| Terminal WACC (%)                         |        |        |        |        | 11.5                                      |        |        |        |        | Terminal WACC (%)                         |        |        |        |        | 11.0                                      |         |         |         |        | Terminal WACC (%)                         |         |          |          |        | 10.5                                      |         |         |         |        | Terminal WACC (%)                         |         |         |         |        | 10.0                                      |  |  |  |  | Terminal WACC (%)                         |  |  |  |  | 9.5                                       |  |  |  |  |
| Terminal growth (%)                       |        |        |        |        | 3.0                                       |        |        |        |        | Terminal growth (%)                       |        |        |        |        | 3.5                                       |         |         |         |        | Terminal growth (%)                       |         |          |          |        | 4.0                                       |         |         |         |        | Terminal growth (%)                       |         |         |         |        | 5.0                                       |  |  |  |  | Terminal growth (%)                       |  |  |  |  | 6.0                                       |  |  |  |  |
| P(failure) (%)                            |        |        |        |        | 85                                        |        |        |        |        | P(failure) (%)                            |        |        |        |        | 55                                        |         |         |         |        | P(failure) (%)                            |         |          |          |        | 35                                        |         |         |         |        | P(failure) (%)                            |         |         |         |        | 15                                        |  |  |  |  | P(failure) (%)                            |  |  |  |  | 8                                         |  |  |  |  |
| Scenario probability (%)                  |        |        |        |        | 15                                        |        |        |        |        | Scenario probability (%)                  |        |        |        |        | 30                                        |         |         |         |        | Scenario probability (%)                  |         |          |          |        | 32                                        |         |         |         |        | Scenario probability (%)                  |         |         |         |        | 15                                        |  |  |  |  | Scenario probability (%)                  |  |  |  |  | 8                                         |  |  |  |  |
| 10-YEAR DCF · \$B                         |        |        |        |        | 10-YEAR DCF · \$B                         |        |        |        |        | 10-YEAR DCF · \$B                         |        |        |        |        | 10-YEAR DCF · \$B                         |         |         |         |        | 10-YEAR DCF · \$B                         |         |          |          |        | 10-YEAR DCF · \$B                         |         |         |         |        | 10-YEAR DCF · \$B                         |         |         |         |        | 10-YEAR DCF · \$B                         |  |  |  |  | 10-YEAR DCF · \$B                         |  |  |  |  | 10-YEAR DCF · \$B                         |  |  |  |  |
| FY                                        | Rev    | Margin | FCF    | PV FCF | FY                                        | Rev    | Margin | FCF    | PV FCF | FY                                        | Rev    | Margin | FCF    | PV FCF | FY                                        | Rev     | Margin  | FCF     | PV FCF | FY                                        | Rev     | Margin   | FCF      | PV FCF | FY                                        | Rev     | Margin  | FCF     | PV FCF | FY                                        | Rev     | Margin  | FCF     | PV FCF |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY27                                      | 0.06   | -550%  | -0.32  | -0.28  | FY27                                      | 0.08   | -500%  | -0.41  | -0.35  | FY27                                      | 0.10   | -420%  | -0.44  | -0.39  | FY27                                      | 0.12    | -350%   | -0.46   | -0.40  | FY27                                      | 0.14    | -280%    | -0.43    | -0.39  | FY27                                      | 0.16    | -210%   | -0.40   | -0.36  | FY27                                      | 0.18    | -140%   | -0.37   | -0.33  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY28                                      | 0.07   | -380%  | -0.28  | -0.21  | FY28                                      | 0.11   | -320%  | -0.38  | -0.29  | FY28                                      | 0.14   | -260%  | -0.40  | -0.31  | FY28                                      | 0.20    | -180%   | -0.42   | -0.33  | FY28                                      | 0.26    | -100%    | -0.34    | -0.27  | FY28                                      | 0.32    | -70%    | -0.32   | -0.22  | FY28                                      | 0.38    | -40%    | -0.29   | -0.19  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY29                                      | 0.08   | -260%  | -0.22  | -0.15  | FY29                                      | 0.15   | -200%  | -0.34  | -0.23  | FY29                                      | 0.20   | -150%  | -0.35  | -0.24  | FY29                                      | 0.32    | -70%    | -0.32   | -0.22  | FY29                                      | 0.46    | +0%      | -0.13    | -0.09  | FY29                                      | 0.64    | +30%    | -0.09   | -0.04  | FY29                                      | 0.96    | +60%    | -0.04   | 0.00   |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY30                                      | 0.09   | -170%  | -0.16  | -0.10  | FY30                                      | 0.20   | -110%  | -0.27  | -0.16  | FY30                                      | 0.30   | -75%   | -0.32  | -0.19  | FY30                                      | 0.50    | -5%     | -0.16   | -0.10  | FY30                                      | 0.78    | +10%     | -0.14    | -0.09  | FY30                                      | 1.12    | +20%    | -0.10   | -0.06  | FY30                                      | 1.60    | +30%    | -0.07   | -0.04  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY31                                      | 0.10   | -110%  | -0.12  | -0.06  | FY31                                      | 0.26   | -50%   | -0.19  | -0.10  | FY31                                      | 0.42   | -25%   | -0.21  | -0.12  | FY31                                      | 0.75    | +12%    | -0.10   | -0.06  | FY31                                      | 1.25    | +20%     | -0.06    | -0.04  | FY31                                      | 1.92    | +30%    | -0.04   | -0.02  | FY31                                      | 2.72    | +40%    | -0.02   | -0.01  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY32                                      | 0.11   | -70%   | -0.09  | -0.04  | FY32                                      | 0.32   | -5%    | -0.07  | -0.04  | FY32                                      | 0.55   | +6%    | -0.09  | -0.04  | FY32                                      | 1.05    | +20%    | -0.02   | -0.01  | FY32                                      | 1.95    | +27%     | +0.06    | +0.03  | FY32                                      | 2.92    | +35%    | +0.04   | +0.02  | FY32                                      | 4.32    | +40%    | +0.03   | +0.01  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY33                                      | 0.12   | -40%   | -0.06  | -0.02  | FY33                                      | 0.38   | +10%   | -0.02  | -0.01  | FY33                                      | 0.68   | +15%   | -0.02  | -0.01  | FY33                                      | 1.40    | +26%    | +0.10   | +0.04  | FY33                                      | 2.85    | +32%     | +0.31    | +0.15  | FY33                                      | 4.20    | +38%    | +0.20   | +0.10  | FY33                                      | 6.00    | +40%    | +0.15   | +0.08  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY34                                      | 0.13   | -20%   | -0.04  | -0.01  | FY34                                      | 0.43   | +16%   | +0.02  | +0.01  | FY34                                      | 0.78   | +21%   | +0.07  | +0.03  | FY34                                      | 1.80    | +30%    | +0.23   | +0.10  | FY34                                      | 3.80    | +36%     | +0.73    | +0.31  | FY34                                      | 5.60    | +39%    | +0.40   | +0.20  | FY34                                      | 8.00    | +40%    | +0.30   | +0.15  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY35                                      | 0.14   | -5%    | -0.02  | -0.01  | FY35                                      | 0.47   | +20%   | +0.06  | +0.02  | FY35                                      | 0.85   | +25%   | +0.15  | +0.05  | FY35                                      | 2.15    | +33%    | +0.44   | +0.16  | FY35                                      | 4.55    | +38%     | +1.23    | +0.47  | FY35                                      | 6.75    | +40%    | +0.80   | +0.40  | FY35                                      | 9.60    | +40%    | +0.60   | +0.30  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| FY36                                      | 0.15   | +3%    | -0.01  | -0.00  | FY36                                      | 0.50   | +22%   | +0.08  | +0.03  | FY36                                      | 0.90   | +28%   | +0.21  | +0.07  | FY36                                      | 2.50    | +35%    | +0.61   | +0.20  | FY36                                      | 5.20    | +40%     | +1.65    | +0.58  | FY36                                      | 7.50    | +40%    | +1.00   | +0.50  | FY36                                      | 10.80   | +40%    | +0.75   | +0.38  |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| Σ PV explicit FCF                         |        |        |        |        | -0.88                                     |        |        |        |        | Σ PV explicit FCF                         |        |        |        |        | -1.13                                     |         |         |         |        | Σ PV explicit FCF                         |         |          |          |        | -1.16                                     |         |         |         |        | Σ PV explicit FCF                         |         |         |         |        | -0.62                                     |  |  |  |  | Σ PV explicit FCF                         |  |  |  |  | +0.67                                     |  |  |  |  |
| + PV terminal (g 3.0%)                    |        |        |        |        | -0.02                                     |        |        |        |        | + PV terminal (g 3.5%)                    |        |        |        |        | 0.34                                      |         |         |         |        | + PV terminal (g 4.0%)                    |         |          |          |        | 1.07                                      |         |         |         |        | + PV terminal (g 5.0%)                    |         |         |         |        | 4.29                                      |  |  |  |  | + PV terminal (g 6.0%)                    |  |  |  |  | 17.57                                     |  |  |  |  |
| EQUITY BUILD · \$B & PER SHARE            |        |        |        |        | EQUITY BUILD · \$B & PER SHARE            |        |        |        |        | EQUITY BUILD · \$B & PER SHARE            |        |        |        |        | EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |         |          |          |        | EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |  |  |  |  | EQUITY BUILD · \$B & PER SHARE            |  |  |  |  | EQUITY BUILD · \$B & PER SHARE            |  |  |  |  |
| Operating EV                              |        |        |        |        | \$-0.90B                                  |        |        |        |        | Operating EV                              |        |        |        |        | \$-0.79B                                  |         |         |         |        | Operating EV                              |         |          |          |        | \$-0.09B                                  |         |         |         |        | Operating EV                              |         |         |         |        | \$3.67B                                   |  |  |  |  | Operating EV                              |  |  |  |  | \$18.24B                                  |  |  |  |  |
| + Cash & investments                      |        |        |        |        | \$0.67B                                   |        |        |        |        | + Cash & investments                      |        |        |        |        | \$0.67B                                   |         |         |         |        | + Cash & investments                      |         |          |          |        | \$0.67B                                   |         |         |         |        | + Cash & investments                      |         |         |         |        | \$0.67B                                   |  |  |  |  | + Cash & investments                      |  |  |  |  | \$0.67B                                   |  |  |  |  |
| = Equity value                            |        |        |        |        | \$-0.23B                                  |        |        |        |        | = Equity value                            |        |        |        |        | \$-0.12B                                  |         |         |         |        | = Equity value                            |         |          |          |        | \$0.58B                                   |         |         |         |        | = Equity value                            |         |         |         |        | \$4.33B                                   |  |  |  |  | = Equity value                            |  |  |  |  | \$18.90B                                  |  |  |  |  |
| Raised over period                        |        |        |        |        | \$1.15B                                   |        |        |        |        | Raised over period                        |        |        |        |        | \$1.10B                                   |         |         |         |        | Raised over period                        |         |          |          |        | \$1.20B                                   |         |         |         |        | Raised over period                        |         |         |         |        | \$0.95B                                   |  |  |  |  | Raised over period                        |  |  |  |  | \$0.50B                                   |  |  |  |  |
| Dilution by FY36                          |        |        |        |        | +90%                                      |        |        |        |        | Dilution by FY36                          |        |        |        |        | +72%                                      |         |         |         |        | Dilution by FY36                          |         |          |          |        | +59%                                      |         |         |         |        | Dilution by FY36                          |         |         |         |        | +21%                                      |  |  |  |  | Dilution by FY36                          |  |  |  |  | +10%                                      |  |  |  |  |
| FY36 shares (M)                           |        |        |        |        | 970                                       |        |        |        |        | FY36 shares (M)                           |        |        |        |        | 877                                       |         |         |         |        | FY36 shares (M)                           |         |          |          |        | 810                                       |         |         |         |        | FY36 shares (M)                           |         |         |         |        | 616                                       |  |  |  |  | FY36 shares (M)                           |  |  |  |  | 560                                       |  |  |  |  |
| DCF per share                             |        |        |        |        | \$-0.24                                   |        |        |        |        | DCF per share                             |        |        |        |        | \$-0.14                                   |         |         |         |        | DCF per share                             |         |          |          |        | \$0.72                                    |         |         |         |        | DCF per share                             |         |         |         |        | \$7.03                                    |  |  |  |  | DCF per share                             |  |  |  |  | \$33.75                                   |  |  |  |  |
| × (1-P_fail) [15%]                        |        |        |        |        | \$-0.04                                   |        |        |        |        | × (1-P_fail) [45%]                        |        |        |        |        | \$-0.06                                   |         |         |         |        | × (1-P_fail) [65%]                        |         |          |          |        | \$0.47                                    |         |         |         |        | × (1-P_fail) [85%]                        |         |         |         |        | \$5.98                                    |  |  |  |  | × (1-P_fail) [92%]                        |  |  |  |  | \$31.05                                   |  |  |  |  |
| + P_fail × distress [85% × \$0.80]        |        |        |        |        | \$0.68                                    |        |        |        |        | + P_fail × distress [55% × \$0.80]        |        |        |        |        | \$0.44                                    |         |         |         |        | + P_fail × distress [35% × \$0.80]        |         |          |          |        | \$0.28                                    |         |         |         |        | + P_fail × distress [15% × \$0.80]        |         |         |         |        | \$0.12                                    |  |  |  |  | + P_fail × distress [8% × \$0.80]         |  |  |  |  | \$0.06                                    |  |  |  |  |
| = Expected per share                      |        |        |        |        | \$0.64                                    |        |        |        |        | = Expected per share                      |        |        |        |        | \$0.38                                    |         |         |         |        | = Expected per share                      |         |          |          |        | \$0.75                                    |         |         |         |        | = Expected per share                      |         |         |         |        | \$6.10                                    |  |  |  |  | = Expected per share                      |  |  |  |  | \$31.11                                   |  |  |  |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |        |        |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |        |        |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |        |        |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |  |  |  |  | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |  |  |  |  | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |  |  |  |  |
| +5y                                       | +10y   | +15y   | +20y   |        | +5y                                       | +10y   | +15y   | +20y   |        | +5y                                       | +10y   | +15y   | +20y   |        | +5y                                       | +10y    | +15y    | +20y    |        | +5y                                       | +10y    | +15y     | +20y     |        | +5y                                       | +10y    | +15y    | +20y    |        | +5y                                       | +10y    | +15y    | +20y    |        |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| \$1.10                                    | \$1.90 | \$3.28 | \$5.65 |        | \$0.64                                    | \$1.08 | \$1.82 | \$3.06 |        | \$1.24                                    | \$2.04 | \$3.35 | \$5.52 |        | \$9.82                                    | \$15.82 | \$25.48 | \$41.04 |        | \$48.97                                   | \$77.10 | \$121.37 | \$191.07 |        | \$13.99                                   | \$22.03 | \$34.68 | \$54.59 |        | \$13.99                                   | \$22.03 | \$34.68 | \$54.59 |        |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |
| 0.32×                                     | 0.54×  | 0.94×  | 1.61×  |        | 0.18×                                     | 0.31×  | 0.52×  | 0.88×  |        | 0.35×                                     | 0.58×  | 0.96×  | 1.58×  |        | 2.81×                                     | 4.52×   | 7.28×   | 11.73×  |        | 13.99×                                    | 22.03×  | 34.68×   | 54.59×   |        | 13.99×                                    | 22.03×  | 34.68×  | 54.59×  |        | 13.99×                                    | 22.03×  | 34.68×  | 54.59×  |        |                                           |  |  |  |  |                                           |  |  |  |  |                                           |  |  |  |  |

Recursion Pharmaceuticals People · Opportunity · Context · Deal

Bear \$0.38 Base \$0.75 Bull \$6.10

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Najat Khan, Ph.D.

0 yrs in seat

1%  
insider ownership

MEDIUM  
key-person risk

**Capital allocation (realized)**  
A leadership transition is in progress: co-founder Chris Gibson stepped down as CEO and Najat Khan (non-founder; joined 2024 as Chief R&D/Commercial Officer, ex-J&J Chief Data Science Officer, ex-BCG) became President & CEO effective January 1, 2026. Capital goes to the AI drug-discovery platform and the 2026-2027 clinical readouts; the all-stock Exscientia acquisition closed in early 2025 (Recursion holders ~74% / Exscientia ~26%). Pre-product and cash-consuming — no dividend or buyback. NVIDIA fully exited its stake in February 2026.

**Incentive alignment**  
Insider economic ownership is low: founder Gibson held ~1% economically after his June 2026 filing, and the new CEO's alignment is option-heavy rather than a founding stake. The dominant alignment lever the thesis relied on — the founder — is being removed as Gibson exits. That exit continued visibly through July 2026: Form 144 notices show Gibson disposing of roughly 100k shares a day plus a 340,440-share block into July 1-2, co-founder Borgeson also filing Form 144s, and near-daily insider sale notices across July 10-21 — the supply overhang Yahoo Finance tied to the 7/22 52-week low.

GOVERNANCE FLAGS

- dual-class (Class B = 10 votes) but effectively collapsed: only ~5.5M Class B remain versus ~522M Class A, and the structure auto-sunsets by ~2027
- co-founder Chris Gibson stepped down as CEO (Jan 2026) and did not seek re-election to the board at the June 2026 annual meeting — founder leaving entirely
- CEO handed to a non-founder professional (Khan) after ~12 years of founder leadership — a transition year
- continued founder/insider Form 144 selling through July 2026 (Gibson ~100k shares/day plus a 340,440-share block into Jul 1-2; co-founder Borgeson also filing; near-daily notices Jul 10-21) — an extension of the flagged founder exit
- NVIDIA fully exited its equity stake (February 2026)

PEOPLE READ

A transition year: the founder is stepping off both the CEO seat (January 2026) and the board (June 2026), and a non-founder professional now runs the company — which removes the founder-alignment leg but also retires the dual-class super-voting (already nearly fully converted, sunsetting ~2027) toward one-share-one-vote. Insider economic ownership is low. The platform, not any individual, is the asset, so key-person risk is moderate rather than high.

THE FOUR LEGS

**People**  
observable composite · 1-5

**Opportunity**  
The scenario distribution · the business snapshot

**Context**  
The 7 Powers analysis (Power Origination)

**Deal**  
Open-market common — entry price weighed against the probability-weighted fair value (the +27.6% finding) + position sizing.



# Recursion Pharmaceuticals

supporting analysis · disclaimers · glossary

Bear \$0.38 Base \$0.75 Bull \$6.10

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Cash cushion is real**

~\$1.3/share of net cash and runway to early 2028 mean the near-term risk is dilution, not insolvency — the floor is firm.
- 2 **Three pharma partners paying**

Roche/Genentech (\$213M received), Sanofi (\$134M, fifth milestone Feb 2026) and Bayer validate that pharma will pay for the platform.
- 3 **De-rated price, fat right tail**

Down ~40% YTD, the equity is a cheap option — ~88% of the expected value sits in the bull and ultra-bull, priced lightly.
- 4 **Compute-scale advantage**

BioHive-2 plus automated Phenomaps generate proprietary phenotypic data at a scale rivals cannot easily match — the raw material of a cornered resource.
- 5 **Milestones could self-fund**

If readouts hit, milestone and royalty income reduce future raises, shrinking the dilution that drags the base and bear.

## FALSIFICATION TRIGGERS

|                                                                                                                                                                                                                     |                                                                                                                                                                                                            |                                                                                                                                                                                              |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>REC-617 combo data (1H27) and REC-4881 registrational path (2H26) read out positive; new or expanded pharma deals with upfront and royalty terms; raises shrink as milestones fund spend. | <b>Bear validation</b><br>Pipeline readouts slip or disappoint; milestone revenue stays lumpy (Q1'26 was only \$6.5M); an equity raise on weak terms confirms dilutive stagnation; partners do not expand. | <b>Reframe needed</b><br>A drug actually reaches approval and royalty economics, shifting the story from option-on-platform to cash-flow; or a partner walks and the platform thesis breaks. |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

## DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

|                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                             |
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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                       |                                                                                                                                                                 |                                                                                                                                                                                              |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Recursion OS</b> — Recursion's integrated platform — automated wet-lab biology plus AI/supercomputing — for finding and advancing drug candidates. | <b>Phenomap</b> — A large map of how cells change appearance (phenotype) under genetic or chemical perturbations, used to spot disease-relevant drug effects.   | <b>Milestone / collaboration revenue</b> — Payments from pharma partners (Roche, Sanofi, Bayer) for upfronts and progress, not from selling an approved product — RXXR's only revenue today. |
| <b>p_fail</b> — The modeled probability the scenario ends in failure (no economically-meaningful drug), driving the equity toward the distress floor. | <b>Sales-to-capital (s2c)</b> — How much new revenue each dollar of reinvested capital produces; sets how fast revenue can grow before fresh capital is needed. | <b>Distress floor</b> — The ~\$0.80/share residual value (cash and salvage) the equity defaults to in a failure outcome, setting a floor under the expected value.                           |